Brazil Macro · Romeo Mugnier de Almeida · EPFL

The Copom held. The market still prices hikes.

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The central bank held rates. The market still prices hikes. I want to bet against those hikes, but only once the 2027 budget target is in law.

Brazil's central bank (the Copom) held the Selic at 13.75% on 4 November and called policy "substantially contractionary". The January 2028 DI rate, at 14.39%, still prices about 100 basis points of hikes by mid-2027, while economists expect cuts. I read most of that gap as fear about public finances, so the trade is to receive January 2028. My rule also needs the budget target in law, and that has not happened yet.

The paper trade (Not in the trade)

Trade	Receive DI January 2028
Today	14.39%, 4 November close
Size	R$1,000 per basis point, about 116 contracts
Enter if	Budget bill filed by 9 December and rate at or above 14.00%
Stop	50 basis points above entry, or any Copom hike
Target	100 basis points below entry
Carry and roll	About 13 basis points a month

What happened?

On 4 November the Copom held the Selic at 13.75%, by 7-0, after 5 straight cuts of 25 bp. It raised its inflation forecasts to 5.6% for 2026 (from 5.2%) and 4.7% for 2027 (from 3.9%), with 3.5% for mid-2028 against a 3% target, and said inflation risks lean upward. It also said activity is slowing more sharply, and it gave no guidance on the next move. Markets moved before the decision: that day the 2-year rate fell 29 bp, as oil dropped and reports said Lula would address the nation on public finances.

Market	23 Oct, before the vote	26 Oct, after the vote	4 Nov, Copom day
Dollar in reais (PTAX)	5.0374	5.5003	5.4775
DI January 2028	12.86%	14.80%	14.39%
Brent spot, US$ (latest: 3 Nov)	128.30	128.12	107.03
U.S. 2-year yield	4.69%	4.68%	4.58%
Ibovespa	205,083	176,608	167,563

PTAX, U.S. yields and Brent spot are official. DI rates and the Ibovespa are B3 figures reported by the press; the official ANBIMA curve, interpolated to the same date, gives 14.43% for January 2028.

What is the market pricing?

A DI rate is the average overnight rate until the contract expires. With the overnight rate at 13.65%, a January 2028 rate of 14.39% needs the Selic to rise by about 100 bp by mid-2027 and stay there. Economists expect the opposite: 13.50% at the end of this year and 12.50% at the end of 2027, an average of about 13.0%. The gap is 1.4 pp. It was 0.3 pp before the vote and 2.3 pp the day after.

Part of that gap is a risk premium rather than an expected hike. The 2-year rate has gone from 12.60% on 5 October to 14.83%, and 66% of the rise is higher implied inflation: 5.27% then, 6.65% now, while economists expect 4.8% for 2027. It is the first-round rally in reverse, through the same channel.

Why do I think the market is too high?

The Copom is not signalling hikes.
It calls policy "substantially contractionary", sees a sharper slowdown, and its 3.5% forecast for mid-2028 already assumes the economists' path with cuts. The 2-year real rate is near 7.7%.

Pressure from abroad is easing.
Brent spot has fallen 16% since the vote, and oil is one of the risks the Copom names. The U.S. 2-year yield is down 10 bp over the same days, although 2 Fed members dissented in favour of a hike on 28 October.

Waiting is paid.
The position earns about 13 bp a month in carry and roll if nothing changes. If the Selic simply stays at 13.75% until expiry, the trade makes +R$87,000.

Educational research, not investment advice. Paper only: no real positions and no claimed performance. Prices and rules dated 5 November 2026.

Why am I not in the trade yet?

On 27 October, before the meeting, I published three conditions. Two are met.

Condition	Status	Evidence
The Copom holds	Met	Held at 13.75%, by 7-0.
It sounds firm on inflation	Met	Forecasts raised, upward risks named, no hint of a cut.
The 2027 budget target is confirmed	Not yet	The finance minister says he will pursue the centre of the target (R$73.2 bn, 0.5% of GDP) through a bill. No bill is filed, and campaign promises need at least R$39.8 bn of room in the budget.

A speech does not count. Lula addresses the nation on 8 November, and he is not expected to announce measures. I enter on a filed bill. Waiting has a price: January 2028 has already fallen 41 bp from 14.80% without me, worth R$41,000 at this size.

What exactly is the trade?

The size comes from the worst day, not from the stop. On 26 October this rate jumped 194 bp in one session. A stop does nothing against a jump like that, and my own VaR models missed the same day in the real. At this size a repeat costs R$195,000, which is my paper limit.

I chose January 2028 because it depends on the next Copom meetings, which is what the thesis is about. Longer contracts carry a fiscal premium I cannot time. The curve is also steepest here: 74 bp from the overnight rate to January 2028, 39 bp more to January 2029, and 21 bp more to January 2031.

If the Selic...	Average overnight rate	Result
Follows economists: 12.50% by end-2027	13.0%	+R$165,000
Stays at 13.75%	13.7%	+R$87,000
Rises 100 bp by mid-2027 (about what is priced)	14.4%	+R$3,000
Rises 200 bp by mid-2027	15.1%	−R$82,000

Held to expiry with 116 contracts, before costs. Hypothetical: no order has been placed.

What would prove me wrong?

1. The Copom hikes or signals a hike: I stay out, or close the trade. **2.** The budget target is loosened, or new spending is carved out of it: I stay out. **3.** The real stays weak: the Copom's forecast starts from R$5.20 per dollar, and PTAX closed at 5.4775, 5.3% weaker. If that gap lasts, the 3.5% forecast is too low. **4.** Economists come to the market: in one week the Focus end-2027 Selic rose from 11.75% to 12.50%. If they meet near today's prices, there is no gap left to trade.

8 November: Lula's address. **10 November:** Copom minutes. **9 December:** Copom and Fed decisions; the plan expires.

What does this mean for FX and commodities?

Exporters: on 27 October I called the weaker real a windfall for those who had not hedged. It lasted a week. A barrel of Brent in reais went from R$646 before the vote to R$705 after it, then to R$588 on 3 November, 9% below where it started. This time the commodity hedge mattered more than the currency hedge. Front-month Brent fell further on 4 November, to US$ 94.62 (−8.7%, press-reported).

What have I got wrong so far?

What I said	What happened	Verdict
27 Oct: the rate cuts are over, and I wait for the 4 November meeting.	Unanimous hold after 5 cuts. 39 of 75 institutions expected another cut, but B3 options already priced about 70% for a hold, so this was no edge. Next test on 9 December: Focus still has 13.50% at year-end.	Confirmed
27 Oct: if the Copom holds, January 2028 at 14.80% prices too many hikes.	It fell to 14.39% before the decision. Right direction, but oil and the U.S. election did much of the work, and I had no position.	Partly
27 Oct: a weaker real is a windfall for unhedged exporters.	True for a week. Oil then took a barrel in reais 9% below its level before the vote. I noted that the oil data stopped on 20 October, not that oil could undo the windfall.	Partly

Lesson. Waiting for proof has a price, and I should state it. From now on every plan says what the wait has cost so far.

Dated inputs

BCB (4 Nov) · BCB (4 Nov) · ANBIMA (4 Nov) · BCB (30 Oct) · U.S. Treasury (4 Nov) · Federal Reserve (28 Oct) · EIA (3 Nov) · Bom Dia Mercado (4 Nov) · Times Brasil (4 Nov) · CNN Brasil (4 Nov) · CNN Brasil (4 Nov) · Seu Dinheiro (4 Nov) · Metrópoles (2 Nov) · Estadão Conteúdo (republished) (4 Nov)

Frozen at publication, before the first session after the decision. PTAX, ANBIMA, Focus, U.S. yields, Brent spot and the Copom statement are official. DI rates, the Ibovespa, front-month Brent, surveys and budget reporting come from the press. The English wording of the Copom's phrases is my translation. No position was opened; nothing here is a real return.